

Blue Cube (Malta) Limited Potential Conflicts Disclosure

The following information is made available in accordance with Article 72 of Regulation 2023/1114 (MiCA) and the requirements of the Malta Financial Services Authority (MFSA).

Blue Cube (Malta) Limited (“Blockchain” “we,” “us”) is a Crypto-Asset Service Provider (CASP) authorized and regulated under the EU’s Markets in Crypto-Assets Regulation (MiCA). Our primary commitment is to act honestly, fairly, and professionally in the best interests of our clients.

In the course of providing crypto-asset services, situations may arise where the interests of Blockchain, our employees, or our other clients conflict with your interests. A conflict of interest is a situation that may compromise our duty to act in your best interest.

This document provides a summary of our approach to identifying and managing such conflicts, in accordance with our internal Conflicts of Interest Policy and our obligations under MiCA.

1. Identifying Potential Conflicts of Interest

We take all appropriate steps to identify conflicts of interest that arise or may arise in the course of our business. Potential conflicts may occur between:

- Blockchain and a client;
- Two or more clients of Blockchain;
- An employee of Blockchain and a client;
- Blockchain and an affiliated entity; or
- Blockchain and a third party (such as a token issuer or another service provider).

The principal circumstances that could give rise to a material conflict of interest include, but are not limited to, the following:

- Financial Incentives: We may have a financial or other incentive to favor the interests of one client over another, or our own interests over those of a client.
- Information Asymmetries: Our employees may have access to confidential information (e.g., pending client orders) that could theoretically be used to our or another party’s advantage.
- Personal Account Dealing: Our directors, employees, or other associated persons may trade for their own personal accounts in crypto-assets for which we provide services.
- Third-Party Payments or Benefits (Inducements): We may receive fees, commissions, or non-monetary benefits from third parties (e.g., trading venues or project teams) in connection with the services we provide to you.
- Multiple Clients: In providing services to multiple clients, we may find their interests conflict, such as when they are on opposite sides of a transaction.

2. Managing Conflicts of Interest

Blockchain has established and maintains a comprehensive Conflicts of Interest Policy to manage these situations effectively. Our management framework is designed to prevent conflicts from adversely affecting our clients’ interests. Key measures include:

- Information Barriers (“Chinese Walls”): We implement procedures to control the flow of confidential information between different business areas, preventing its misuse. For example, personnel engaged in principal trading activities are segregated from those providing client advisory or execution services.
- Order Execution Policy: We maintain a robust Order Execution Policy designed to ensure we take all sufficient steps to obtain the best possible result for our clients when executing orders. A summary of this policy is available on our website.
- Personal Account Dealing Rules: We enforce strict rules governing the personal trading activities of our employees, including pre-clearance requirements and restricted lists for certain crypto-assets, to prevent them from front-running client orders or misusing confidential information.
- Inducements and Remuneration Policies: Our internal policies prohibit the giving or receiving of inappropriate gifts or inducements. Employee remuneration is structured to discourage behavior that could create a conflict with client interests.
- Board Governance and Independent Compliance Function: Our Conflicts policy is approved by the board. Our Compliance department operates independently to monitor the effectiveness of our conflict management policies and procedures.
- Disclosure: Where our arrangements to manage a specific conflict are not sufficient to ensure, with reasonable confidence, that risks of damage to client interests will be prevented, we will disclose the specific nature of the conflict to you before undertaking business. This disclosure allows you to make an informed decision about whether to proceed.

Blockchain (Malta) Limited maintains a Conflicts of Interest Register which records all identified or potential conflicts and the measures taken to manage them. The Register, and this disclosure, are reviewed at least annually by the Compliance Function to ensure their ongoing effectiveness and alignment with MiCA and MFSA requirements.

Further information on our Conflicts of Interest Policy is available upon request from the Compliance Function.

This policy is implemented and monitored locally by the Compliance Officer (Malta) to ensure alignment with MFSA requirements.